Casa de Bolsa Interacciones

QUICKVIEW

FOOD

BIMBOA MM

PRICE
(MXN, al 26/07/2016)
P$56.46

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.93

MARKET CAP (MXN MN)
265,543

DL VL TRADED (PROM. MXN MN)
133

TARGET PRICE
P$44 / Var. TP -22.07%

HOLD

*TP Under Review

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Q216 Financial Report

Favorable results as expected – BIMBO presented results of Q216 with sales of MXN$60,626M (+14% YoY), EBITDA of MXN$ 6,838M (+21% YoY) and net income of MXN$1,906M (+10% YoY). We believe that this report could have a slightly positive effect on the share price of BIMBO.

Significant growth in EBITDA – Excellent performance in EBITDA was due to an increase of 33% YoY in North America, 7% YoY in Mexico and the fact that Europe presented positive EBITDA during the quarter; compared with a loss in the Q215. The margins of the North America and Europe divisions benefited from lower restructuring expenses. Mexico margin remained stable, while Latin America shrank due to higher expenses for the retirement of certain fixed assets in Brazil and integration costs in Argentina.



	Q216	Q215	Dif (%)
Sales	60,626	53,267	13.8%
Operating Income	4,861	3,989	21.9%
EBITDA	6,838	5,652	21.0%
Net Income	1,906	1,729	10.2%

	Q216	Q215	Dif bp
Operating Mgn. (%)	8.0%	7.5%	52.9
EBITDA Mgn. (%)	11.3%	10.6%	66.8
Profit Mgn. (%)	3.1%	3.2%	-10.2

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

Multiples	2013	2014	2015	2016e
P/E	42.8x	51.3x	41.8x	28.9x
P/BV	4.1x	3.8x	3.7x	3.4x
EV/EBITDA	15.7x	16.5x	19.6x	11.6x

Estimates (MXN mill.)	2013	2014	2015	2016e
Revenues	176,045	187,777	219,186	240,604
EBITDA	15,738	16,267	14,121	26,291
EBITDA Margin (%)	8.9%	8.7%	6.4%	10.9%
Net Income	4,422	3,729	5,172	8,408
Net Margin (%)	2.5%	2.0%	2.4%	3.5%
EPS	0.94	0.79	1.10	1.79
BVPS	9.70	10.84	12.45	14.99

Source: Interacciones Research and the company

Q216 Financial Report

Sales driven by North America and Europe - BIMBO reported revenue growth in all its business divisions. In this regard, We highlight the increases in North America (+19% YoY) and Europe (+14% YoY), supported by the exchange rate depreciation. Sales of Mexico operations rose +7%, attributed to higher volumes. For this reason, revenues from Latin America increased 10% YoY, particularly in Brazil, despite the prevailing macroeconomic situation.

Expansion in gross margin - Gross profit increased +16% YoY, with a gross margin expansion of 110 bps to 54.4%. This was due to lower costs of raw materials in North America and Europe. Meanwhile, Mexico and Latin America reported a lower gross margin mainly due to the FX impact.

Significant growth in EBITDA - Excellent performance in adjusted EBITDA was due to an increase of 33% YoY in North America, 7% YoY in Mexico and the fact that Europe presented positive EBITDA during the quarter; compared with a loss in the Q215. The margins of the North America and Europe divisions benefited from lower restructuring expenses. Mexico margin remained stable, while Latin America shrank due to higher expenses for the retirement of certain fixed assets in Brazil and integration costs in Argentina.

Net income - Net income rose +10% YoY, due to the excellent operating performance, which was partially offset by higher interest expense resulting from the depreciation of the Mexican peso and a tax rate of 42% in the Q216, vs. 35% in Q215.

Slight increase in leverage - The ratio of net debt / adjusted EBITDA was 2.7x in the Q216, compared with 2.5x in the Q216.

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BIMBOA: Historic Target Price(s) & Recommendation(s)

Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$44.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*

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